Monthly Loss Forecasting Methodology

1. Purpose and scope

The method estimates monthly portfolio loss for the fictional Northstar Cooperative. It applies to the managed consumer portfolio and excludes one-off

Data inputs and preparation

The analyst loads the Northstar ledger extract and delinquency history, removes duplicate account rows, and records the as-of date before modeling.

3. Method and calculator

The method combines a three-month observed loss rate with a stress multiplier. The Loss Allocation Workbook is an offline Excel calculator owned by th

Controls and validation

The reviewer checks source row counts, recalculates the variance, and archives the workbook with the monthly evidence packet. A control is named but i

5. Assumptions and limitations

The source assumes stable reporting definitions. It does not state how a structural portfolio change limits the result or who approves an override.